

Currency and consumer spending, mid-year view

August 2026

A steadier currency and slowing inflation should ease pressure on household budgets into 2027, but imported goods will stay expensive relative to incomes.

Summary

- The currency has traded in a narrow band since the spring, which has let importers plan prices a quarter ahead again.
- Headline inflation is slowing but remains in double digits; real incomes are recovering slowly.
- Households are trading down within categories rather than leaving them.

Indicators to watch (illustrative)

INDICATOR	SIX MONTHS AGO	NOW	DIRECTION
Headline inflation	24%	17%	Easing
Policy interest rate	25.5%	23.0%	Easing
Currency volatility (3-month)	High	Low	Steadier
Consumer confidence index	82	88	Improving

Risks

- A renewed currency move would reprice imported stock within weeks.
- Rate cuts may be slower than markets expect if inflation stalls.

What it means for Meridian

- Treasury should keep hedging cover high through Q4 while it is cheap to hold.
- Financing offers become more attractive to customers as rates fall; Finance and the B2C units should plan for it together.
- Price architecture should protect entry price points, where trading down lands.